

easy,” says the former mobility entrepreneur quoted earlier.

## SMELLING BLOOD

As the market leaders’ shadow shortens, many challengers have latched onto the sliver of sunlight passing through. And these firms are aggressively targeting the market with differentiated offerings.

Prominent among them is BluSmart, India’s first all-electric ride-hailing service, which has positioned itself as a premium, reliable alternative to the market leaders.

“In the existing ecosystem, all three participants—the customer, driver and the platform in the middle—have been disgruntled. We said we won’t do anything jazzy. We will go back to basics, [to] what a customer needs when booking a cab—be on time, give a clean cab and one that he can afford. For drivers, we want to offer livelihood in a city by using his core skill, which is driving,” says Tushar Garg, Co-founder and CBO of Gurugram-based BluSmart.

It offers fixed prices and scheduled rides, addressing users’ concerns about surge pricing and cancellations. The company has an EV fleet of over 5,000 cars and says it is adding 500-1,000 every month.

Industry observers believe BluSmart’s focus on airport rides has likely helped it capture a high single-digit market share in that segment and it enjoys better profitability due to larger-ticket trips and cost savings facilitated by its EVs.

Garg said the company measures market share based on revenue. “Our personal reading is that we could be in double-digit percentages when it comes to revenue market share in the two cities (NCR and Bengaluru) we operate in,” he says.

Others too are addressing the



**“We have widened our geographical presence, introduced buses, and achieved growth in all aspects, including category expansion”**

**PRABHJEET SINGH**  
PRESIDENT, UBER INDIA AND SOUTH ASIA



**“Our business model is more sustainable because we don’t play with incentives. We [feel we are] easily the No. 3 in the market already”**

**ROMAN ERMOSHIN**  
DIRECTOR-APAC, INDRIVE

value proposition mentioned earlier as they get ready to lap up disgruntled drivers and customers. Take for instance California-based inDrive—which had a soft launch in Chandigarh in 2019 and operates in 12 cities today. It claims to have completed over 15 million rides (across cabs, autos, bikes and intercity) in 2022. It operates on an auction-based model, allowing drivers and passengers to negotiate prices for the ride, and charges much lower driver commission at 10 per cent.

“The biggest weakness for these platforms [Uber and Ola] is that they have very high commission for drivers and they cannot really lower that because their expenses on user bonus and driver incentives are very high. When they start reducing these marketing tools, users will [come] to competitors like us. Our business model is more sustainable because we don’t play with incentives. We [feel we are] easily the No. 3 in the market already, and we are going to compete for the second place,” says Roman Ermoshin, Director-APAC at inDrive.

He says the company is making headway in capturing market share from Ola and Uber in cities like Kolkata, where it has already secured a 10 per cent market share. With over 100,000 drivers, the company is looking to clock 30 million rides in 2023. “I would say the duopoly is already being broken. Our target is to get to 20 per cent of the market, or even upwards of 25 per cent by 2025-26, because we have a unique selling proposition,” he adds.

Then there is Drife, which started operations in November 2021 with just 25 driver-partners. It says it has a fleet of 25,000 cabs in Bengaluru, doing about around 1,000-2,000 rides a day. It works on a